that ₹10 is a big amount for a person who earns ₹100 per day but it is not the case for a person who earns ₹1000 per day. In this case, if both were required to pay equal amount of tax of ₹10, it puts higher burden on the first person than second. So these taxes are considered as regressive in nature.

But by imposing higher rate of taxes on luxury goods and lower rate of taxes on essential goods the progressiveness of indirect taxes is ensured to some extent.

Union Excise Duties

Duties of excise on the following goods manufactured or produced in India :

(a) petroleum crude; (b) high speed diesel; (c) motor spirit (commonly known as petrol); (d) natural gas; (e) aviation turbine fuel; and (f) tobacco and tobacco products.

In addition to the excise duty and customs duty levied, **National Calamity Contingent Duty (NCCD)** is levied on some of the specified tobacco products and on crude petroleum. It is credited to National Calamity Contingent Fund (NCCD) and National Disaster Response Fund (NDRF).

Customs Duties

It is the tax on import and export of commodities. It is levied on exports very rarely especially to protect the domestic interest like price control and to make the product supply enough.

Sales Tax/VAT (Value Added Tax)

It is a tax on sale of commodities. It is a state level sales tax. The tax rate is imposed as a percentage of value added. Hence, it is called VAT. After the introduction of GST only few products like petrol and diesel are under VAT.